

REVENUE MEMORANDUM CIRCULAR NO. 49-2023 issued on May 5, 2023 updates the floor price of cigarettes, heated tobacco, vaporized nicotine and non-nicotine products and reiterates the imposition of corresponding penalties, sanctions and liabilities for non-compliance therewith.

Below is the updated floor price for the following tobacco products:

A. Cigarettes

Packaging	Content per Packaging	Production Cost/ Total Landed Cost	Excise Tax	VAT	Total Tax	Floor Price
Pack	20 sticks	₱ 42.32	₱ 60.00	₱ 12.28	₱ 72.28	₱ 114.60
Ream	10 acks	₱ 423.20	₱ 600.00	₱ 122.80	₱ 722.80	₱ 1,146.00

B. Heated Tobacco Products

Packaging	Content per Packaging	Production Cost/ Total Landed Cost	Excise Tax	VAT	Total Tax	Floor Price
Pack	20 sticks	₱ 75.00	₱ 32.50	₱ 12.90	₱ 45.40	₱ 120.40

C. Vapor Products

C.1 Nicotine Salt or Salt Nicotine

Packaging	Pack/Fill	Content per Packaging	Production Cost/Total Landed Cost	Excise Tax	VAT	Total Tax	Floor Price
Pod	1	2ml	₱ 74.57	₱ 104.00	₱ 21.43	₱ 125.43	₱ 200.00
Pod	1	4ml	₱ 108.94	₱ 208.00	₱ 38.03	₱ 246.03	₱ 354.97

C.2 Conventional 'Freebase' or 'Classic' Nicotine

Packaging	Pack/Fill	Content per Packaging	Production Cost/Total Landed Cost	Excise Tax	VAT	Total Tax	Floor Price
Bottle	1	10ml	₱ 100.00	₱ 60.00	₱ 19.20	₱ 79.20	₱ 179.20
Bottle	1	30ml	₱ 180.00	₱ 180.00	₱ 43.20	₱ 223.20	₱ 403.20

Selling of tobacco products at a price lower than the combined Excise and Value-Added Taxes imposed under the law shall be prohibited. The **seller** of such products shall be punished with the corresponding fine under the pertinent provisions of the 1997 National Internal Revenue Code, as amended.

The Joint Administrative Order (JAO) No. 22-01, Series of 2022 expressly states: "E-Commerce platforms, e-marketplaces, and the like shall verify if the goods sold by online sellers or merchants, and e-retailers, in their respective platforms are regulated, prohibited, original, genuine, licensed, or unexpired."

Any violation of the floor prices prescribed above shall be subject to the corresponding penalties under the pertinent provisions of the 1997 NIRC, as amended, to wit:

(i) **"SEC. 145. Cigars and Cigarettes: - xxx**

"Selling of tobacco products at a price lower than the combined excise and value-added taxes imposed under the law shall be prohibited. The seller of such products shall be punished with a fine of not less than ten (10) times the amount of excise plus value-added taxes due but not less than Two hundred thousand pesos (₱200,000.00) nor more than Five hundred

thousand pesos (P500,000.00), and imprisonment of not less than four (4) years but not more than six (6) years."

(ii) **"SEC. 254. Attempt to Evade or Defeat Tax.** - Any person who willfully attempts in any manner to evade or defeat any tax imposed under this Code or the payment thereof shall, in addition to other penalties provided by law, upon conviction thereof, be punished by a fine not less than Five hundred thousand pesos (P500,000) but not more than Ten million pesos (P10,000,000) and suffer imprisonment of not less than six (6) years but not more than Ten (10) years: Provided, That the conviction or acquittal obtained under this Section shall not be a bar to the filing of a civil suit for the collection of taxes."

(iii) **"Sec. 263-A. Selling of Heated Tobacco Products and Vapor Products at a Lower Price than the Combined Excise and Value-added Taxes.** — Any person who sells heated tobacco products and vapor products at a price lower than the combined excise and value-added taxes shall be punished with a fine of ten (10) times the amount of excise tax plus value-added tax but not less than One hundred thousand pesos (P100,000.00), and imprisonment of not less than two (2) years but not more than four (4) years.

In addition to the above penalties, the provisions of Sections 263 and 265 of the 1997 NIRC as amended, shall likewise be applied.

Furthermore, **Sec. 13 of JAO No. 22-01, Series of 2022**, provides: "E-Commerce platforms, e-marketplaces, and the like, shall be treated, and shall be held liable, in the same manner as online sellers, merchants, and e-retailers, when the latter commits any violation of the laws implemented by these rules."